

Valuation

Methodology Overview

This valuation applies a blended framework that assigns primary weight to forward EV/Sales and uses discounted cash flow ("DCF") analysis as a secondary cross-check. The final target price is based on an **80% weighting to EV/Sales** and a **20% weighting to DCF**, resulting in a final weighted target price of **\$8.24** per share.

All financial values are presented in USD millions unless otherwise stated. Diluted shares were unavailable in the model outputs; therefore, the valuation uses **370.03 million shares outstanding**. This approach is less conservative than using diluted shares, but it is consistent with the available valuation input file.

Why EV/Sales Is the Primary Method

EV/Sales is the most appropriate primary valuation method because D-Wave remains an early-stage company and its current earnings, EBITDA, and free cash flow are not representative of normalized profitability. Consequently, P/E and EV/EBITDA are not appropriate primary methods. Current earnings and EBITDA do not provide a stable valuation base and would largely reflect near-term investment losses rather than the company's long-term commercialization potential.

The valuation therefore focuses on forward revenue and uses **2027E revenue of \$70.811 million** as the base valuation year. This approach better reflects the company's stage of development, where revenue growth and commercialization progress are more relevant than current profitability metrics.

Peer Group and Capped Multiple Rationale

The raw quantum peer median EV/Sales LTM multiple is **386.741x**. This figure is shown as a market reference but is not applied directly in the valuation. Quantum peer multiples are distorted by very small revenue bases, which can produce unusually high and unstable EV/Sales ratios. Directly applying the raw peer median would therefore risk overstating intrinsic value.

To address this issue, the model uses capped EV/Sales scenarios. These capped multiples preserve a market-based valuation anchor while reducing the distortion caused by extremely small peer revenue bases.

Table 1. Capped EV/Sales Scenario Valuation

Scenario	EV/Sales Multiple	Target Price
Bear	25.0x	\$7.08
Base	40.0x	\$9.95
Bull	60.0x	\$13.78

EV/Sales Valuation

In the Base case, the model applies a **40.0x EV/Sales multiple** to **2027E revenue of \$70.811 million**, producing enterprise value of **\$2,832.440 million**. Adding net cash of **\$848.522 million** results in equity value of **\$3,680.962 million**. Using **370.03 million shares outstanding**, the EV/Sales Base case target price is **\$9.95**.

This method remains the primary valuation anchor because it is tied to forward commercialization revenue while avoiding reliance on current earnings or EBITDA, which are not representative of normalized profitability.

DCF Cross-Check

DCF is used only as a conservative cross-check because explicit forecast free cash flow remains negative and the model is highly sensitive to terminal assumptions. In the DCF Base case, the model uses a **17% WACC**, **3% terminal growth**, and **10% terminal FCF margin**.

The Base case DCF produces PV of explicit FCF of **-\$397.196 million** and PV of terminal value of **\$62.612 million**. Enterprise value is **-\$334.584 million**, equity value is **\$513.938 million**, and the DCF Base case target price is **\$1.39**.

Because explicit forecast FCF is negative, terminal value is the positive operating value component before adding net cash. This reinforces why DCF is treated as a secondary method rather than the primary valuation anchor.

Market-Implied Valuation Sanity Check

At the current share price of **\$22.35**, D-Wave's market capitalization is **\$8,270.171 million**. After subtracting net cash of **\$848.522 million**, the implied enterprise value is **\$7,421.649 million**.

Against **2027E revenue of \$70.811 million**, the current share price implies **104.81x EV/Sales**, materially above the capped **40.0x** Base case EV/Sales multiple. To justify the current enterprise value, D-Wave would need revenue of **\$185.541 million** at **40.0x EV/Sales** or **\$123.694 million** at **60.0x EV/Sales**. This indicates that the current market price implies either a much higher revenue base or a much higher EV/Sales multiple than the Base case.

Final Target Price and Recommendation

The final valuation combines the **\$9.95 EV/Sales Base case target price** with the **\$1.39 DCF Base case target price**, using an **80% EV/Sales / 20% DCF** weighting. This produces a final weighted target price of **\$8.24**.

Table 2. Final Blended Valuation Summary

Scenario	EV/Sales Target Price	DCF Target Price	Weighted Target Price
Bear	\$7.08	\$1.34	\$5.93
Base	\$9.95	\$1.39	\$8.24
Bull	\$13.78	\$1.57	\$11.33

Relative to the current share price of **\$22.35**, the final target price of **\$8.24** implies approximately **63.2% downside**. Based on this valuation gap, the model supports a negative investment view at the current price.

Note: Figures are sourced from the model outputs listed in the valuation workstream. No additional valuation figures are introduced in this section.